

Looking at past number is only 25% of the work

PE is a direct reflection of what the market expects of future growth

- Traditionally, PE is 2x the FGR
- A PE of 30 means the market thinks the FGR is 15%

Take a look at the PE/growth rate of the industry

When looking at past numbers:

1. Book value + dividends + buyback growth
2. Earnings growth
3. Total revenue growth
4. Operating cash flow growth

Use the Toolbox to compute a composite growth rate

- When analysts give “long-term” growth rates, they are supposed to be 5 yrs, but in reality their 6-12 months, just the nature of the beast

If we see consistency & predictability in the big 4, then we can use the composite

If we don't see consistency and predictability in the big 4, then we have to eliminate outlier years

Creating a FGR:

- Must go through the other 3 M's before even looking at growth rate
- FGR is not a formula, it's an art

Factors of a FGR:

- Rear view mirror
 - The big 4, as well as ROE and ROIC
- Market volatility
 - Inflation adjusted S&P past 100 years is 7.5%. Will our company grow with or without the market? Why or why not?
- Company guidance
 - Read filings for insight into managements expectations
 - Press releases, earnings calls, etc
 - Look at 10K for revenue, store, etc growth
- Sector/industry
 - Google industry trends
- Analysts
 - Just consider it with a grain of salt

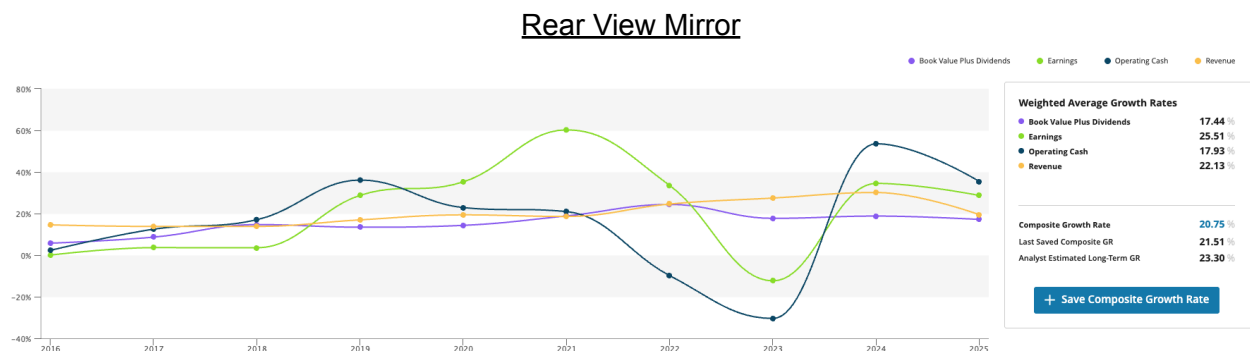
Growth of cash is what makes a company's stock price go up in the long run. To grow cash:

- Charge more for products/services
- Cut costs
- Add more products/services
- Grow into new markets/regions

Is your FGR rational & achievable for 10 years?

- Grow the revenue/store count → is that crazy?
- Determine the future vs current market share → is that crazy?
- Be conservative & rational

It's normal to adjust your FGR when new information is released

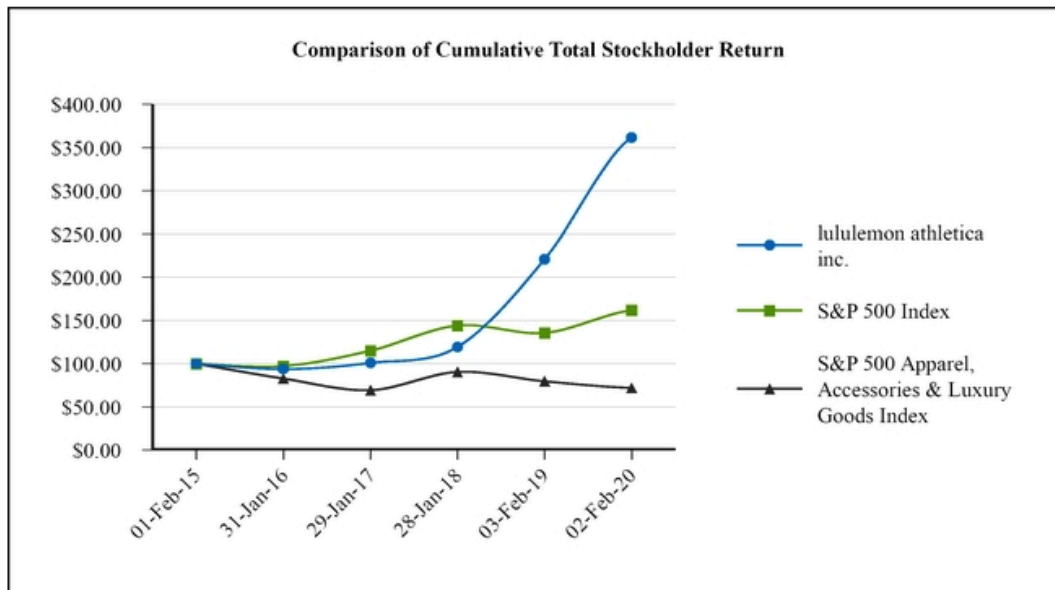
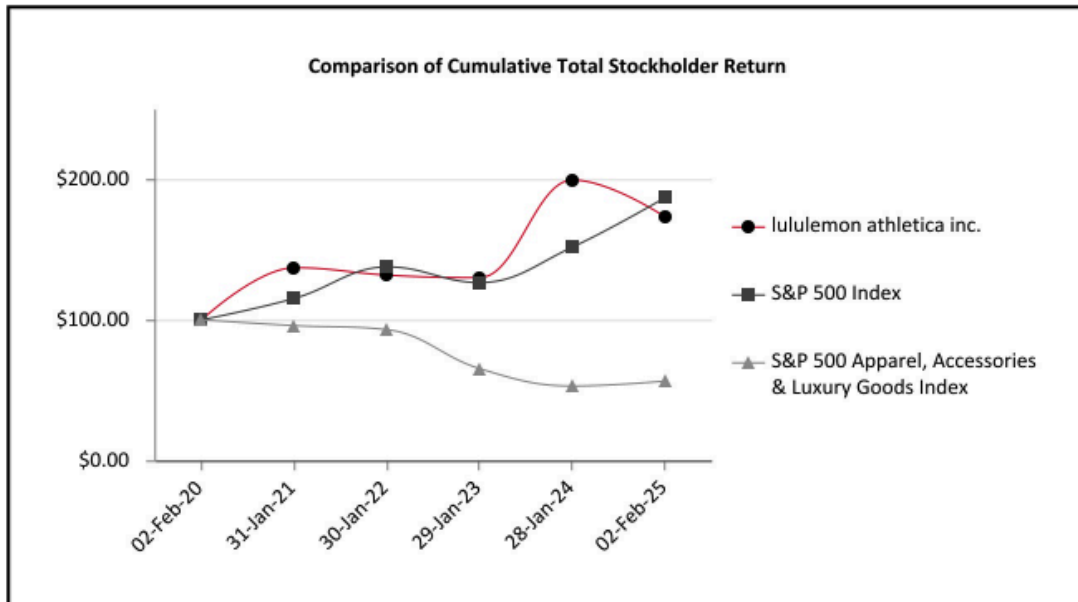


Composite GR: 20.75%

- Exclusions of Op cash & earnings in 2021 (b/c of covid)

Market Relativity

From 10Ks:



Conclusion: overall, Lulu appears to consistently outperform the S&P apparel index, as well as mostly outperform the S&P overall.

Sector/Industry

Articles [here](#), [here](#), and [here](#), state that athleisure will:

- Grow globally:
 - 9% thru 2030
 - 8.8% thru 2034
 - 9.82% thru 2034
- Grow in north america:
 - 7.6% thru 2030

- Grow in Asia
 - 11% thru 2034

Company Guidance

The Power of Three (2019) plan was to double mens, double digital, and quadruple international sales in 5 years, they did it in 3.5. That's a 15%, 15%, and 28% growth respectively

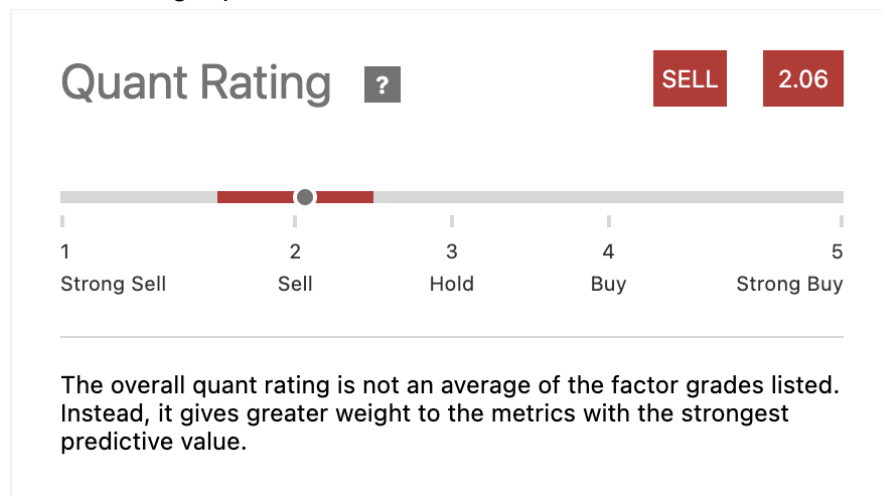
The Power of Three x2 plan was to double revenue in 5 years. That's 15% growth, and they are still on track, despite the 2025 slowdown. However, this plan will come to an end in 2026, and they have yet to announce a new 5 year plan.

It seems that in general, management believes they can grow at 15%, and they have achieved it on several occasions.

Analysts

- Article [here](#) has 5 year revenue growth rate at 9.2%

From Seeking Alpha as of Dec 2025:



SA Analyst Rating

BUY

3.84

Average analyst rating



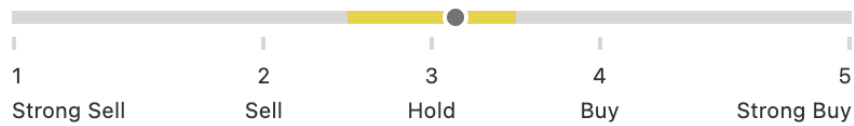
Wall St. Ratings

?

HOLD

3.14

Average analyst rating



Overall, quants think it's going down. Wall st is unsure. Seeking alpha analysts think it's going up.